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Case Number: 24STCV28938 Hearing Date: August 5, 2026 Dept: 509

Gustavo Diaz v. FCA US, LLC, et al.

MOTION FOR JUDGMENT ON THE PLEADINGS

MOVING PARTY(S): Defendant FCA US, LLC

RESPONDING PARTY(S): Plaintiff Gustavo Diaz

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

Plaintiff Gustavo Diaz (Plaintiff) purchased a 2019 Jeep Cherokee manufactured by defendant FCA US, LLC (FCA), sold by defendant Premier Chrysler Dodge Jeep Ram of Buena Park (Premier, collectively Defendants), which allegedly has transmission defects, engine defects, electrical defects as well as other defects and non-conformities. Plaintiff alleges: (1) violation of subdivision (d) of Civil Code Section 1793.2; (2) violation of subdivision (b) of Civil Code Section 1793.2; (3) violation of subdivision (a)(3) of Civil Code Section 1793.2; (4) breach of the implied warranty of merchantability; (5) fraudulent inducement – concealment; and (6) negligent repair.

FCA now moves for judgment on the pleadings as to the fifth cause of action. Plaintiff opposed.

TENTATIVE RULING:

FCA’s Motion for Judgment on the Pleadings of the Fifth Cause of Action for Fraudulent Inducement – Concealment is GRANTED.

FCA is ordered to give notice, unless waived.

DISCUSSION:

Motion for Judgment on the Pleadings

I. Meet and Confer

The Declaration of attorney Jacky P. Wang reflects the meet and confer requirement was satisfied.

II. Legal Standard

The rules applicable to demurrers also apply to motions for judgment on the pleadings. (County of Orange v. Association of Orange County Deputy Sheriffs (2011) 192 Cal.App.4th 21, 32.) A motion for judgment on the pleadings is properly granted when the “complaint does not state facts sufficient to constitute a cause of action against that defendant.” (Code Civ. Proc., § 438, subd. (c)(1)(B)(ii).) The grounds for the motion must appear on the face of the challenged pleading or from matters that may be judicially noticed. (Code Civ. Proc., § 438, subd. (d).) The trial court must accept as true all material facts properly pleaded, but does not consider conclusions of law or fact, opinions, speculation, or allegations contrary to law or facts that are judicially noticed. (Stevenson Real Estate Services, Inc. v. CB Richard Ellis Real Estate Services, Inc. (2006) 138 Cal.App.4th 1215, 1219-20.) “A motion for judgment on the pleadings may be made at any time either prior to the trial or at the trial itself.” (Stoops v. Abbassi (2002) 100 Cal.App.4th 644, 650.) “In deciding or reviewing a judgment on the pleadings, all properly pleaded material facts are deemed to be true, as well as all facts that may be implied or inferred from those expressly alleged.” (Fire Ins. Exch. v. Super. Ct. (2004) 116 Cal.App.4th 446, 452.)

III. Analysis

FCA now moves for judgment on the pleadings as to the fifth cause of action for fraudulent inducement - concealment. FCA moves on grounds that the cause of action is insufficient as pled, is barred by the statute of limitations, and is barred by the economic loss rule.

Plaintiff alleges that, “[o]n or January 19, 2019, Plaintiff entered into a warranty contract with Defendant FCA regarding a 2019 Jeep Cherokee.” (Compl. ¶ 7.) Plaintiff alleges the “[d]efects and nonconformities to warranty manifested themselves within the applicable express warranty period, including but not limited to, transmission defects, engine defects, electrical defects; among other defects and non-conformities…[impairing] the use, value, or safety of the Vehicle.” (Compl. ¶¶ 12,13.)

In support of the fifth cause of action for fraudulent inducement by concealment, Plaintiff alleges “FCA committed fraud by allowing the Subject Vehicle to be sold to Plaintiff without disclosing that the Subject Vehicle and its transmission were defective which can cause hesitation on acceleration, loss of power, hard and/or harsh shifts, and/or jerking. It can also result in a total loss of power and/or failure to accelerate while driving, significantly impair driver control.” (Compl. ¶ 59.) Plaintiff alleges “FCA knew that the Vehicle and its 9-speed transmission suffered from an inherent defect, was defective, would fail prematurely, and was not suitable for its intended use.” (Compl. ¶ 60.) Despite that knowledge, “Defendant FCA has knowingly and intentionally concealed material facts and breached its duty not to do so.” (Compl. ¶62.) “Had Plaintiff known that the Vehicle and its transmission were defective at the time of sale, they would not have purchased the Vehicle.” (Compl. ¶63.) “Plaintiff was harmed by purchasing a vehicle that Plaintiff would not have leased and/or purchased had Plaintiff known the true facts about the Transmission Defect.” (Compl. ¶65.)

As an initial matter, considering the allegations, Plaintiff has alleged all elements of fraudulent concealment, and has done so with the specificity required at the pleading stage. (See Collins v. eMachines, Inc. (2011) 202 Cal.App.4th 249, 255 [under the LiMandri factors, a duty to disclose arises when a defendant “actively conceals a material fact” or “makes partial representations that are misleading because some other material fact has not been disclosed.”].) It is also worth noting that the facts of the alleged defects are likely within the knowledge of FCA. (Comm. On Children's Television, Inc. v. Gen. Foods Corp. (1983) 35 Cal. 3d 197, 217, [“Less specificity is required when ‘it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy.’”].)

However, as will be explained, this Court concludes this cause of action is barred by the economic loss rule. Traditionally, the economic loss rule barred tort recovery for purely economic losses arising from a breach of contract absent a showing of personal injury or property damage. (Sheen v. Wells Fargo Bank, N.A. (2022) 12 Cal.Rptr.2d 834.) “[T]he economic loss rule provides: Where a purchaser's expectations in a sale are frustrated because the product he bought is not working properly, his remedy is said to be in contract alone, for he has suffered only 'economic losses.' The economic loss rule requires a purchaser to recover in contract for purely economic loss due to disappointed expectations, unless he can demonstrate harm above and beyond a broken contractual promise. Quite simply, the economic loss rule 'prevents the law of contract and the law of tort from dissolving one into the other." (Food Safety Net Services v. Eco Safe Systems USA, Inc. (2012) 209 Cal.App.4th 1118, 1130 [citing Robinson Helicopter Co., Inc. v. Dana Corp. (2004) 34 Cal.4th 979, 988].)

In Dhital, which was a Song-Beverly action, the Court of Appeal addressed the economic loss rule in the specific context of fraudulent inducement by concealment. (Dhital v. Nissan N. Am., Inc. (2022) 84 Cal. App. 5th 828, 840.) [FN 1] The court held concealment-based claims for fraudulent inducement are not barred by the economic loss rule "because a defendant's conduct in fraudulently inducing someone to enter a contract is separate from the defendant's later breach of the contract or warranty provisions that were agreed to." (Id. at 841.)

But more recently, the Supreme Court offered further guidance on the economic loss rule. In Rattagan v. Uber Techs., Inc., the issue was whether a Plaintiff could "assert an independent claim of fraudulent concealment in the performance of a contract?" (Rattagan v. Uber Technologies, Inc. (2024) 324 Cal.Rptr.3d 433.) The Court held that a plaintiff may only assert a separate claim of fraudulent concealment based on conduct occurring in the course of a contractual relationship "if the elements of the cause of action can be established independently of the parties' contractual rights and obligations and the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the contract." (Id. at p. 466, emphasis added.)

Here, Plaintiff's attempt to argue the manufacturer's alleged failure to disclose the defects falls under Dhital and not Rattagan is unavailing. Indeed, to distinguish the language in these opinions might be splitting hairs at best. The alleged "failure to disclose" these alleged defects occurred exactly at the time of the sale. Under Plaintiff's theory, Defendant had an affirmative duty to inform the Plaintiff at the time of the sale (or immediately prior thereto). However, this "tort," if any, certain occurred during the "course of the contract." Thus, the Supreme Court's opinion in Rattagan controls.

The Court now turns to the three-step test articulated in Rattagan. To help trial courts apply this new test, the Court instructs:

When evaluating whether the parties' expectations and risk allocations bar tort recovery, the court must consider the alleged facts. First, applying standard contract principles, it must ascertain the full scope of the parties' contractual agreement, including the rights created or reserved, the obligations assumed or declined, and the provided remedies for breach. Second, it must determine whether there is an independent tort duty to refrain from the alleged conduct. Third, if an independent duty exists, the court must consider whether the plaintiff can establish all elements of the tort independently of the rights and duties assumed by the parties under the contract.

The guiding and distinguishing principle is this: if the alleged breach is based on a failure to perform as the contract provides, and the parties reasonably anticipated and allocated the risks associated with the breach, the cause of action will generally sound only in the contract because a breach deprives an injured party of a benefit it bargained for. However, if the contract reveals the consequences were not reasonably contemplated when the contract was entered and the duty to avoid causing such harm has an independent statutory or public policy basis, exclusive of the contract, tort liability may lie.

(Rattagan, supra, 324 Cal.Rptr.3d at 466.)

Here, considering the parties' respective arguments and recent authorities, this Court concludes the cause of action for fraudulent inducement must fail. By executing the warranty contract, the parties reasonably anticipated and allocated the risks associated with the defects alleged by Plaintiff in the complaint. Moreover, Plaintiff has not identified a statutory or public policy basis independent of the contract necessary to impose tort liability here. Thus, this action sounds in contract, not fraud or negligence.

Additionally, the Court finds Bjoin v. J-M Mfg. Co. Inc. (2025) 113 Cal.App.5th 884 (Bjoin) persuasive here. Bjoin, citing Rattagan, states that a "duty to disclose requires 'a preexisting relationship between the parties, such as 'between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement…it cannot arise between the defendant and the public at large.' [Citation]." (Bjoin, at p. 901–902). Plaintiff does not allege such preexisting relationships in the complaint.

In opposition, Plaintiff argues that Bader v. Johnson & Johnson (2022) 86 Cal.App.5th 1094 supports the proposition that "FCA forms a transactional relationship with buyers such as Plaintiff through the retail sale of its vehicles, from which it profits." (Opp. at p. 7:19-22.) However, the Bjoin court specifically rejected the idea that "a duty to disclose relationship is created between a manufacturer and a consumer when a manufacturer advertises its products to consumers or profits from the sale of its products to consumers" because "[t]his statement is too broad and vague to constitute a standard which is applicable in other cases." (Bjoin v. J-M Mfg. Co. Inc., supra, 113 Cal.App.5th at pp. 902, 904.)

Further, the Ford Motor Warranty Cases held that there was "certainly not such a relationship resulting from the sales contract" between Song-Beverly plaintiffs and manufacturers. (Ford Motor Warranty Cases (2025) 17 Cal.5th 1122, 1130.) The Ford Motor Warranty Cases allowed Song-Beverly plaintiffs, such as Plaintiff here, to avoid arbitration because there was no buyer/seller relationship between the plaintiffs and the manufacturers. (Id. at pp. 1130-1131.) Now, Plaintiff seeks such privity to retain the cause of action for fraudulent inducement. Finding a buyer/seller relationship now would appear to be in direct conflict with the Ford Motor Warranty Cases. Plaintiff cannot have their cake and eat it too.

As the fifth cause of action fails as a matter of law from the application of the economic loss rule, the Court need not reach a conclusion on the statute of limitations.

Accordingly, FCA's motion for judgment on the pleadings as to the fifth cause of action is GRANTED. Generally, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) Because it appears there is no reasonable possibility of successfully amending this cause of action, no leave to amend is given.

IT IS SO ORDERED.

Dated: August 5, 2026 ___________________________________

Randolph M. Hammock

Judge of the Superior Court

FN 1 - As the parties are aware, the California Supreme Court initially agreed to hear Dhital. However, it stayed the case pending considering of a "related issue" in Rattagan v. Uber Technologies, Inc. On December 18, 2024, approximately three months after issuing its decision in Rattagan, the Court dismissed the appeal in Dhital without hearing the case. This might reasonably suggest that the Court viewed Rattagan as having resolved the issue raised by Dhital.

Any party may submit on the tentative ruling by contacting the courtroom via email at by no later than 4:00 p.m. the day before the hearing. All interested parties must be copied on the email. It should be noted that if you submit on a tentative ruling the court will still conduct a hearing if any party appears. By submitting on the tentative you have, in essence, waived your right to be present at the hearing, and you should be aware that the court may not adopt the tentative, and may issue an order which modifies the tentative ruling in whole or in part.